AICB · FMAM · IPPC · PRINTABLE STUDY NOTES

IPPC Study Notes Comprehensive Reference

Black-and-white printable version generated from the final Notes page. Covers all three chapters, key formulas, key concepts, important dates, Acts, schedules, and penalties.

Study Text: 3rd Edition, Version 3.0, published 2025. Exam format: 2 hours / 80 MCQs. Pass band: 70 and above. Updated module effective: 1 March 2026.

Investor Protection Professional Certification · 3rd Edition study-text aligned · Effective for 1 March 2026 examinations

Table of Contents

Clean revision map for the IPPC study notes. Use the page numbers on the right to move between core chapters, quick-reference sheets and legal tables.

Exam focus: Chapter 2 and Chapter 3 carry the largest official weight. Use the legal-reference pages for fast recall; verify exact legislative penalties against current law when using outside the exam context.

CHAPTER ONE

The Malaysian Financial System

Structure and functions of major financial markets in Malaysia, the roles of financial institutions, intermediaries, regulators, and investors - the foundation of the IPPC qualification.

Topics: Foreign Exchange, Money Market, Capital Market, Islamic Banking, BNM, SC

1.1 Structure of Malaysia's Financial Markets

What is a Financial Market?

A market where people and entities trade financial securities, derivative contracts, currencies, and commodities. Financial securities include stocks, bonds, currencies, futures and options, and money market instruments.

Financial markets bring together **suppliers of funds (lenders)** with **users of funds (borrowers)**. They facilitate capital raising, liquidity transfer, international trade, price discovery, and central bank monetary policy implementation.

Exam Trap

Money market vs capital market: the exam usually turns on original maturity. Money market = up to one year; capital market = longer than one year. NIDs are a caveat because NID/INID tenors can run beyond one year.

Foreign Exchange Market

• Largest & most liquid financial market globally

• Currency exchange occurs continuously (24hrs)

• **Divided into:** Spot, Forward, Swap markets

• **In Malaysia:** managed float exchange rate regime

• Overseen by BNM via FX Policy Notices

• **Onshore:** MYR-based; Offshore: NDF market (not recognised by BNM)

Money Market

• Short-term debt instruments (<= 1 year)

• **Instruments:** T-Bills, BNM Bills, NID, Repos, Commercial Paper, BA

• **NID caveat:** NIDs/INIDs are discussed with money-market/discount instruments, but tenors may range from 3 months to 5 years

• **Participants:** banks, corporations, govt, BNM

• **Purpose:** manage short-term funding needs & liquidity

• **Islamic equiv.:** IIMM (Islamic Interbank Money Market)

Capital Market

• **Long-term securities (> 1 year):** equities & bonds

• **Primary market:** new issue of securities (IPO)

• **Secondary market:** trading of existing securities

• Overseen by Securities Commission (SC)

• **Bursa Malaysia:** main exchange

• **Bond market:** Bursa Bonds, Bond Info Hub, BPAM

Commodities Market

• **Raw/primary products:** palm oil, rubber, crude oil, tin, copper

• **Settlement:** physical-settled or cash-settled

• Traded via OTC forwards or exchange-traded futures/options

• **Malaysia:** Bursa Malaysia Derivatives (BMD) for commodity futures

Derivatives Market

• Contracts whose value derives from underlying asset

• **Types:** Forwards, Futures, Options, Swaps

• Exchange-traded (Bursa Malaysia Derivatives) vs OTC

• **Uses:** hedging, speculation, arbitrage

New Developments in Malaysian Capital Markets (Section 1.1.4)

Equity Crowdfunding (ECF):	Fundraising method tapping individual investors via SC-registered online platforms. Allows start-ups and early-stage companies to obtain capital through small equity investments. Investors are subject to ECF investor limits; retail investors are capped per issuer and per year, while sophisticated investors have no investment limit.
Peer-to-Peer Financing (P2P):	Debt-based crowdfunding via SC-registered platforms. Connects investors directly with businesses seeking financing. Investors receive interest/profit and/or principal depending on the repayment structure. P2P is typically short-term, often less than one (1) year.
Digital Asset Exchange (DAX):	SC-registered electronic platforms for trading permitted digital assets such as digital currencies and digital tokens. DAX trading is open to all investors, subject to platform onboarding and operator-level limits.
LEAP Market:	Leading Entrepreneur Accelerator Platform. Launched by Bursa Malaysia in 2017. Adviser-driven market for emerging companies and SMEs. Shares accessible only to sophisticated investors and therefore generally have lower secondary trading volume and liquidity.
Publication-date recall figures:	Study Text states there are 13 ECF operators, 16 P2P operators, 6 registered DAX operators, and 19 digital assets permitted on regulated DAX platforms as of publication.

1.2 Islamic Banking

Malaysia operates a **dual banking system** - conventional and Islamic banking run in parallel. The Islamic financial system encompasses Islamic banking, Islamic money market, takaful, Islamic capital market, and Islamic FX market.

Exam Trap

Islamic banking is not simply conventional interest under another label. Exam answers should refer to Shariah compliance, prohibition of Riba/Maisir/Gharar, and transactions supported by genuine trade, business activity or an underlying asset.

Aspect	Conventional Banking	Islamic Banking
Basis	Interest (riba)	Profit-sharing / fee-based (Shariah)
Return	Fixed interest rate	Returns depend on the Shariah contract; investment-account returns are not guaranteed
Risk	Bank bears credit risk mainly	Risk shared between bank and customer
Deposit Product	Fixed Deposit	Investment Account (Mudharabah/Wakalah)
Financing	Loans with interest	Murabahah, Ijarah, Musyarakah, etc.
Oversight	BNM via FSA 2013	BNM via IFSA 2013 + Shariah Advisory Council
Securities	Bonds (conventional)	Sukuk (Shariah-compliant investment certificates)

Exam Tip

Key Islamic finance principles: prohibition of Riba (interest), prohibition of Gharar (speculative trading), prohibition of Maisir (gambling), and the requirement for transactions to be supported by genuine trade, business activity, or an underlying asset. BNM's Shariah Advisory Council is the authority for Shariah matters relating to Islamic financial business under BNM's purview; SC/Shariah advisers may apply in capital-market and sukuk contexts.

1.3 Market Structure

Primary vs Secondary

Primary: New securities issued directly to investors (IPO, new bond issue)

Secondary: Trading of already-issued securities between investors (Bursa Malaysia)

Exchange vs OTC

Exchange-traded: Standardised, central counterparty, transparent pricing (Bursa Malaysia)

OTC (Over-the-counter): Bilateral, customised, private - most bonds & FX are OTC

Onshore vs Offshore

Onshore: Transactions in Malaysia, subject to BNM FX rules

Offshore: MYR-denominated trades outside Malaysia (e.g. NDF) - BNM does not recognise offshore MYR market

1.4 Market Participants

Participant	Role & Description
Regulators	BNM, SC, Bursa Malaysia, PIDM, Labuan FSA, and Ministry of Housing & Local Government - oversee markets, institutions, investor protection, deposit insurance, Labuan IBFC, and moneylenders/pawnbrokers respectively
Financial Institutions	Commercial banks, Islamic banks, digital banks, investment banks, and development financial institutions - key intermediaries in the financial system. BNM also supervises insurance/takaful operators under the relevant financial-services laws.
Dealers	Principal traders - buy and sell securities for their own account; provide liquidity (market-makers)
Brokers	Agents - execute trades on behalf of clients for a commission; do not take principal positions
Investors	Retail and institutional (EPF, unit trusts, insurance companies) - provide capital in exchange for returns
Speculators	Take risk positions to profit from price movements; add liquidity but increase volatility
Arbitragers	Exploit price discrepancies across markets simultaneously; help align prices across markets
Rating Agencies	RAM, MARC (Malaysia) - assess creditworthiness of debt issuers; ratings guide investment decisions
Bursa Malaysia	Exchange holding company under CMSA 2007. Operates and regulates equity and derivatives exchanges. Provides trading, clearing, settlement, and depository services. One of the largest bourses in Asia.
Non-Bank FX Companies	Offer currency exchange and international payments to individuals and companies. Also known as FX brokers but do NOT offer speculative trading - only currency exchange with payments.
Money Transfer / Remittance / Bureaux de Change	Remittance companies: high-volume low-value transfers by economic migrants. Bureaux de change: low-value FX for travellers, typically at airports, stations, and tourist locations.
Ministry of Housing & Local Government	Develops and regulates moneylenders, credit companies, and pawnbrokers. In November 2020 issued Online Moneylending Guidelines allowing existing licensed moneylenders to provide loans online.
Labuan FSA	Established 15 February 1996 under the Labuan FSA Act 1996. Responsible for development and administration of the Labuan International Business and Financial Centre (Labuan IBFC). Promotes Labuan as an international financial centre.

1.5 Regulatory Authorities, Acts & Guidelines

Bank Negara Malaysia (BNM)

Established 26 January 1959 under the Central Bank of Malaysia Act 1958 (now replaced by CBA 2009, effective 25 November 2009). A statutory body wholly owned by the Government of Malaysia, reporting to the Minister of Finance.

BNM Roles:	Promote monetary stability · Promote financial stability · Promote a progressive and inclusive financial system · Promote safe and efficient payments/remittance services · Issue currency · Maintain financial integrity
BNM Functions:	Formulate and conduct monetary policy · Issue currency · Regulate and supervise financial institutions · Provide oversight over money and FX markets · Exercise oversight over payment systems · Hold and manage foreign reserves of Malaysia · Promote sound, progressive and inclusive financial system

Exam Trap

Primary market raises fresh capital from investors to issuers. **Secondary market** is trading among investors and mainly provides liquidity/price discovery.

FSA 2013 (Financial Services Act) & IFSA 2013 (Islamic Financial Services Act)

Effective date	30 June 2013
FSA 2013	Consolidated and replaced several older laws. It gives BNM stronger regulatory and supervisory powers over the conventional financial sector.
IFSA 2013	Governs Islamic financial institutions, takaful operators and Islamic money brokers. Institutions must comply with Shariah requirements.

Key FSA goals:

- Maintain and strengthen financial stability
- Enhance inclusive growth in the financial system
- Provide adequate consumer protection
- Give BNM stronger regulatory and supervisory powers

Securities Commission Malaysia (SC)

Established under the Securities Commission Act 1993. Regulates capital markets.

Principal functions:

- Supervise exchanges, clearing houses, and central depositories
- Registering authority for prospectuses of corporations
- Approving authority for corporate bond issues
- Regulate all matters relating to securities, futures contracts, unit trust schemes, and take-overs/mergers
- Licensing and supervising all licensed persons (CMSL holders)
- Encouraging self-regulation and ensuring proper conduct of market participants

Capital Markets and Services Act 2007 (CMSA)

Primary legislation for capital markets. Establishes the Capital Markets Services Licence (CMSL) framework. Lists regulated activities: dealing in securities, dealing in derivatives, fund management, advising on corporate finance, investment advice, financial planning, dealing in PRS and clearing.

BNM/SC Guidelines on Investor Protection

Jointly issued by BNM and SC. These guidelines apply to financial institutions distributing structured products and unlisted debt securities. They set the regulatory foundation for the IPPC qualification. Key requirements: proper disclosure, suitability assessment, KYC procedures, and transparent marketing of products.

CHAPTER TWO

Regulations & Guidelines for Market Participants

Roles and responsibilities of licensed organisations and persons, Know-Your-Client best practices, deposit insurance, and anti-money laundering requirements.

Topics: CMSL, KYC, AML/CFT/CPF & TFS, PIDM, Suitability, Fit & Proper

2.1 Roles & Responsibilities of Licensed Organisations

A **Licensed Organisation** refers to: a holder of the Capital Markets Services Licence (CMSL), a Registered Person (RP) with the SC, or a financial institution acting as product issuer/distributor.

2.1.1.1 Fair Treatment of Consumers

Financial institutions must give due regard to the interests of consumers in the development, marketing, and sale of new products. The Board must approve policies and procedures that:

• Enable fair treatment of consumers

• Avoid the potential for mis-selling

• Avoid terms and conditions that are inherently unfair to consumers

• Avoid business practices that restrict freedom of choice

2.1.1.2 Customer Suitability Procedures

Financial institutions must develop and implement internal customer suitability procedures ensuring products are only sold to suitable customers. The procedures must confirm that:

• The customer has a practical understanding of the product features and investment risks

• The product would meet the customer's investment objectives and investment horizon

• The product is consistent with the customer's risk appetite

2.1.1 Introduction of New Products

BNM's Guidelines on Introduction of New Products (7 March 2014) aims to:

Improve time-to-market	for introducing new or modified products
Promote sound risk management	during product development and marketing
Strengthen duty of care	to ensure products are appropriate for targeted consumer segments

Exam Trap

PDS and PHS are not the same document. PDS reflects BNM disclosure expectations; PHS is the SC document for relevant unlisted capital market products and depends on product type and investor category.

2.1.2 Product Disclosures

Product Disclosure Sheet (PDS)	- BNM disclosure document setting out key product terms, conditions, features, significant risks, fees/charges and important warning statements in clear language
Product Highlights Sheet (PHS)	- SC document for relevant unlisted capital market products; contains concise salient features, key risks, fees/charges, valuation and exit costs, contact details, responsibility statement and SC disclaimer
Timing	Disclosure must be timely - normally before or at point of entering the contract, with further disclosure during the term of the contract where relevant
Term Sheet	- detailed product document for structured products; describes specific terms, conditions, risks and payoff formula

2.1.3 Responsibilities in Product Issuance, Launch & Distribution

Product issuance and distribution is governed by SC Guidelines. Key framework:

Lodge and Launch Framework

Introduced by the SC to promote process efficiency and shorten time-to-market. Unlisted capital market products do **not require SC authorisation or recognition** before launch - instead they are lodged with and launched via SC-registered lodgement systems. Issuers and distributors remain fully responsible for compliance.

SC: Product Highlights Sheet (PHS) - Section 2.1.2.2

Under SC Guidelines, a product issuer or distributor must provide a **Product Highlights Sheet (PHS)** for relevant unlisted capital market products where required. The PHS contains clear, concise and effective information on salient features, key risks, fees/charges, valuation and exit costs, and investor complaint/enquiry contacts. It must not be false, misleading, or contain material omissions. Distinct from the BNM Product Disclosure Sheet (PDS) - both may be required depending on the product and investor category.

Product / Investor Category	PHS Requirement - Exam-Safe Rule
Retail corporate bonds / sukuk	**PHS required**.
Seasoned corporate bonds / sukuk	**PHS not required** under the Study Text table.
Corporate bonds / sukuk offered only to accredited investors, high-net-worth entities, high-net-worth individuals, or RM250k transaction investors	**PHS generally not required** for corporate bonds/sukuk categories shown in the Study Text table.
All other unlisted capital market products	**PHS required** for retail investors, high-net-worth individuals, RM250k transaction investors, and high-net-worth entities unless the applicable opt-out applies.

Rights to Rescind / Cooling-Off

Do not assume a universal cooling-off period for all investment products. Where a cooling-off right or right to rescind applies, the exact right, trigger and time period must come from the relevant product rules, contract note, prospectus, PDS/PHS or other product documentation.

2.2 Roles & Responsibilities of Licensed Persons (LP)

Licensed Person (LP)

For IPPC purposes, this includes relevant employees or representatives such as **Employees of Registered Persons (ERPs)** involved in selling or marketing structured products and unlisted debt securities. They must comply with CMSA investor protection provisions, meet fit-and-proper standards, complete the relevant qualifications such as IPPC where required, and perform proper KYC/suitability assessment before recommendations.

2.2.1 CMSA 2007 - Key Sections & Penalties

Section	Obligation	Penalty for Breach
S.92(1) - Recommendations	Licensed person must have a **reasonable basis** for all investment recommendations - must gather information on client objectives, financial situation, and needs; investigate the subject matter	Liable to pay **damages** to investor for losses caused - Section 92(4)
S.92A - False/Misleading Info	Must not issue/provide false or misleading information, make false statements, or wilfully omit material facts to investors in capital market products	Fine up to **RM3 million**, or imprisonment up to **10 years**, or both
S.93 - Client Order Priority	Client orders must be given priority. Licensed person must not front-run or place own orders ahead of client orders except in prescribed circumstances	Fine up to **RM1 million**, or imprisonment up to **5 years**, or both
S.97 - Dealings as Principal	Must disclose to client when dealing as **principal** (not agent) before entering into the transaction. A CMSL holder dealing as principal with a non-holder must first inform them of this fact	Fine up to **RM1 million**, or imprisonment up to **10 years**, or both. Client may also have rescission rights in prescribed circumstances.
S.178 - Fraudulently Inducing Persons to Deal in Securities	Covers misleading, false or deceptive statements, promises or forecasts that induce a person to deal in securities. Exam example: wrongly assuring a customer that returns or principal are guaranteed when they are not.	Fine **not less than RM1 million**; and imprisonment up to **10 years**
S.179 - Manipulative Devices	Unlawful to use any device, scheme or artifice to defraud; engage in fraudulent acts or deceptive practices; or make untrue/misleading statements in connection with purchase or sale of securities	Fine **not less than RM1 million**; and imprisonment up to **10 years**
S.232 - Prospectus Requirement	No offer of securities to the public without a registered prospectus. Cannot circulate any application form unless accompanied by a registered prospectus	Fine up to **RM10 million**, imprisonment up to **10 years**, or both.

2.2.2 Qualifications Required for Regulated Activities

Product	Qualification Required
Seasoned Corporate Bonds / Sukuk	**At least one** of: Modules 6 & 7 of SC Licensing Examinations, IPPC, or Pasaran Kewangan Malaysia Certificate (PKMC)
Dealing in Unlisted Debt Securities	**PKMC Modules I-IV**. This is distinct from the selling/marketing qualification route below.
Selling / Marketing Structured Products and Unlisted Debt Securities	**Non-treasury dealers:** IPPC. **Treasury dealers:** PKMC Modules I-IV. Apply the institution's internal competency and permitted-activity rules.

2.2.3 "Fit and Proper" Requirements

Positive Criteria

• Honesty and integrity

• Competence and soundness of judgment

• Financial soundness

• Reputation and character

Exam-Relevant Minimum Criteria

• Not an undischarged bankrupt

• Not a judgment debtor

• Not convicted of fraud, dishonesty, violence, or banking/securities/insurance-law offences

• Not engaged in deceitful or oppressive business practices

• Not acting in a way that makes competence or soundness of judgment doubtful

Exam Shortcut

Fit and Proper is not just character. For IPPC, remember the three-part standard: minimum fit-and-proper criteria, relevant examination requirements, and Continuing Professional Education (CPE) requirements. The exam-relevant CPE requirement is **20 CPE points every year** for licence renewal / continued competence.

Exam Trap

Suitability is about recommendations. Do not recommend an unsuitable product. If a customer insists despite a mismatch, follow the institution's mismatch/exception procedure, explain risks, and document the acknowledgement.

2.2.4 Know-Your-Client (KYC) & Financial Needs Analysis

Purpose of KYC

KYC ensures investment advisors understand each client's financial situation, objectives, and risk tolerance. It is a legal and ethical obligation - without proper KYC, suitability assessments cannot be made and investment advice cannot be provided in good faith.

2.2.4.3 KYC Policy - Protecting Both Parties

KYC protects **both clients and advisors**. Clients are protected because advisors understand what investments suit their personal situation. Advisors are protected because the KYC record provides documented guidance for suitable recommendations.

KYC/CDD is a **dynamic process** and should be updated periodically when the client's circumstances or market conditions change.

1. Client	Identification & Due Diligence
2. Risk	Profiling & Financial Position
3. Financial	Needs Analysis
4. Product	Suitability Assessment
5. Recommendation	& Disclosure

KYC Component	What to Collect
Personal Information	Full name, NRIC/passport, DOB, address, nationality, tax residency
Financial Position	Income, assets, liabilities, net worth
Investment Experience	Past investment history, knowledge of financial products
Investment Objectives	Goals: capital preservation, income, growth, speculation
Risk Tolerance	Ability and willingness to bear losses (low/medium/high)
Investment Horizon	Short-term (< 3 yrs), medium (3-7 yrs), long-term (> 7 yrs)

2.2.4.9 Code of Conduct & Ethics for Relationship Managers

A set of principles, standards, and rules outlining moral, ethical, and professional practices for relationship managers (RMs). Key purposes:

• Maintaining sales quality and integrity in the sales process; ensure good client experience

• Maintain at all times a professional approach in the conduct of business

• Understand and be familiar with requirements of BNM, SC, FIMM and other applicable Acts

• Adhere to AML/CFT guidelines - ensure transactions are not linked to money laundering or terrorism financing

2.2.5 Code of Conduct for Malaysia Wholesale Financial Markets

2.2.5.1 Dealers & Brokers - Fit & Proper

Dealers/brokers must meet minimum fit & proper criteria per the Malaysia Code of Conduct (MCC):

• Not an undischarged bankrupt or judgment debtor

• Not convicted of fraud/dishonesty/violence offence

• Not convicted of banking, securities, or capital markets offences

2.2.5.2 Best Execution of Deals

Institutions must ensure dealers/brokers adhere to **best execution** principles:

• Prompt and fair execution of client orders

• Execute based on specific client instructions

• Truthful and transparent communications

• Clear disclosure of risks, fees, and market conditions

2.2.5.3 Prohibited Conduct (FSA Section 256 / IFSA Section 267)

The following conduct is prohibited under FSA and IFSA. A breach may result in **criminal, civil, or administrative action**.

- **Market manipulation** - artificial price movements, collusion on reference/fixing rates
- **Misinformation and rumour spreading** - disseminating false or misleading information
- **Insider trading** - trading on material non-public information
- **Offshore MYR dealing** - facilitating or participating in offshore Ringgit (NDF) market transactions

Whistle-blowing: Under Section 256 of the FSA and Section 267 of the IFSA, market participants may report contraventions to BNM in good faith without liability.

2.2.5.4 Preserving an Ethical Marketplace

Dealers and brokers must NOT:

• Influence reference or fixing rates through collusion or inappropriate sharing of confidential information

• Undertake dealings intended to move reference rates in their favour and to the detriment of clients

• Participate in offshore MYR transactions - BNM does not recognise the offshore MYR market

2.2.5.5-2.2.5.6 Information Sharing & Record-Keeping

Information Sharing:	All transaction information must be treated as confidential. Disclosure without authorisation is an offence under Section 133 FSA / Section 145 IFSA. Permitted disclosure only with explicit permission of parties or as required by law/court/regulator.
Record-Keeping:	Institutions must retain records of all communications (telephone, e-broking, bilateral electronic platform). Policies must ensure auditability and traceability of all transactions.

2.2.5.7 Non-Compliance - Actions & Reporting

Financial institutions must investigate suspected non-compliance and take proportionate action:

• Suspension, restriction of access to dealing areas, or limiting dealing/broking activities

• Must notify BNM and FMAM (Financial Markets Association of Malaysia) in writing within one week of initiating or concluding any inquiry - even if the dealer/broker is no longer employed

• May file complaints with FMAM under its by-laws if they believe a current or former dealer/broker violated the policy

2.2.6 Secrecy Requirements under FSA/IFSA

FSA S133 / IFSA S145 - Duty of Secrecy | FSA S134 / IFSA S146 - Permitted Disclosures

FSA Section 133 imposes a broad duty of confidentiality on financial institutions and all personnel (including former employees, directors, agents). **IFSA Section 145** mirrors this rule for Islamic financial service providers - requiring the same confidentiality obligations. This secrecy duty continues even after employment ends and applies to all levels of staff.

Under **FSA Section 134** and **Schedule 11** (IFSA Section 146), disclosure is permitted only under these specific circumstances:

Customer consent	Customer or legal representative (e.g., executor of estate) gives written permission for disclosure
BNM approval	Approval from BNM in writing
Bankruptcy	Customer declared bankrupt - disclosure to persons connected with bankruptcy proceedings
Court order	Required by a court of law
Supervisory authorities	Required by relevant supervisory authorities under applicable laws

2.3 Categories of Investors

Sophisticated Investors (SC Guidelines)

• **Individual:** gross annual income > RM300,000, or > RM400,000 jointly with spouse/child; or total net assets > RM3 million with primary residence contribution capped at RM1 million; or net personal investment portfolio > RM1 million

• Other HNWI routes may include recognised qualifications with relevant experience, professional memberships, or at least 5 years' capital-market intermediary experience

• Corporation/institution/trust fund with net assets exceeding RM10 million

• High Net Worth Entity defined by SC

• Can access a broader range of products with less regulatory restrictions

BNM FX Policy Investor Categories

• Licensed financial institutions

• Licensed investment managers

• Pension funds and unit trust schemes

• Entities with total assets > RM10 million

• For complex FX products or other specialised FX activities, check the applicable BNM Foreign Exchange Policy Notice and product eligibility requirements

Key Distinction

Retail investors generally receive the highest level of investor-protection safeguards, including fuller disclosure and suitability checks. Do **not** assume a universal cooling-off right; any cooling-off or rescission right depends on the relevant product rules, contract note, prospectus, PDS/PHS or other product documentation. **Sophisticated investors** receive reduced protections as they are presumed knowledgeable. Always verify client category before selling complex products.

2.4 Deposit Insurance - PIDM

Exam Trap

PIDM does not cover everything sold by a bank. It covers eligible deposits at member banks, not structured products, unit trusts, bonds, NIDs, repos, investment accounts, shares or gold-related products.

Perbadanan Insurans Deposit Malaysia (PIDM)

A statutory body established under the Malaysia Deposit Insurance Corporation Act 2011. PIDM administers deposit insurance for **member banks** - commercial banks and Islamic banks licensed under FSA/IFSA. Investment banks, development financial institutions and international Islamic banks are not PIDM member institutions. PIDM also administers insurance/takaful benefits protection (TIPS) for eligible insurers and takaful operators. **TIPS maximum protection: RM500,000 for takaful certificates and insurance policies.**

What PIDM Covers

• Current accounts

• Savings accounts

• Fixed deposits

• Foreign currency deposits

• Islamic deposit accounts

• Bank drafts/cheques made against a deposit account

• **Deposit insurance coverage:** RM250,000 per depositor per member institution (includes principal + interest/return). Covers 97% of depositors in full.

• **TIPS coverage for eligible takaful certificates and insurance policies:** RM500,000

• **Separate RM250,000 coverage provided for:** conventional and Islamic deposit accounts (treated as distinct categories), joint accounts, and trust accounts

What PIDM Does NOT Cover

• Deposits not payable in Malaysia

• Interbank money market placements

• Negotiable Instruments of Deposit (NID) and other bearer deposits

• Repurchase agreements (Repo)

• Unit trusts, stocks, and shares

• Investment Accounts (Restricted and Unrestricted)

• Gold-related investment products or accounts

BNM FX Policy - Resident Rules (Section 2.3.2.1)

Accredited investors (licensed financial institutions, licensed fund managers, pension funds, entities with total assets > RM10M) may deal in complex FX products without restriction.

Resident without domestic Ringgit borrowing:	Free to invest any amount in foreign currency assets (FCAs) onshore and abroad.
Resident with domestic Ringgit borrowing:	May invest up to RM50 million equivalent per calendar year (group of resident entities) or RM1 million equivalent per calendar year (resident individuals) from conversion of Ringgit and trade FCA.

BNM FX Policy - Non-Resident Rules (Section 2.3.2.2)

Free mobility

for inflow and outflow of capital for investments in Malaysia.

• Non-residents are free to invest in any form of Ringgit assets (direct or portfolio investment)

• **Investments can be funded through:** conversion of FCY to Ringgit with licensed onshore banks (LOBs); FCY borrowings from LOBs; or Ringgit borrowing from LOBs for real sector activities and purchase of residential/commercial properties (not land only)

• Non-residents are free to remit out investment proceeds

2.4.3 Benefits to Depositors

• PIDM automatically reimburses insured deposits if a member bank fails - no application required

• No charge to depositors for this protection

• PIDM conducts public awareness activities to ensure consumers understand their protection

2.4.4 Benefits to the Financial System

• Promotes public confidence in Malaysia's financial system

• Reinforces regulatory and supervisory framework

• Provides incentives for sound risk management via the Differential Premium System (DPS) for member banks

2.4.6 Guidelines on Disclosure of Deposit Insurance Information

Member institutions must:

• Prominently display PIDM membership and use approved PIDM materials

• Clearly disclose which products ARE and are NOT covered by PIDM

• Ensure staff can accurately explain PIDM coverage to customers

2.5 Anti-Money Laundering, CFT, CPF & Targeted Financial Sanctions (AML/CFT/CPF & TFS)

Key Legislation & Policy Documents

AMLA 2001 - Primary legislation. Imposes CDD, reporting, threshold-reporting, STR, and record-keeping obligations on reporting institutions.

BNM AML/CFT/CPF and TFS for FIs Policy Document (effective 5 February 2024) - Specifies obligations of reporting institutions, requires a comprehensive **Risk-Based Approach** to managing ML/TF/Proliferation Financing risks, and specifies Targeted Financial Sanctions (TFS) requirements.

SC AML/CFT/CPF Guidelines - Applies to dealers, fund managers, futures brokers, management companies. Non-compliance reflects adversely on fitness and properness.

AMLA Key Offences & Penalties

S.4(1) - Money Laundering	Per Study Text: money-laundering offence. Verify exact penalty against current AMLA if using outside exam context.
S.13 - Transaction Records	Failure to keep transaction records: fine up to [illegible] under S.86
S.17 - Retention of Records	Failure to retain records: fine up to **RM3 million** or imprisonment up to **5 years** or both
S.14 - STR Failure to Report	Fine up to **RM1 million** or imprisonment up to **3 years** or both (Section 22)
S.25 - Tipping Off	Criminal offence - fine and/or imprisonment. Cannot alert anyone that an STR has been filed or that a person is under investigation

Three Stages of Money Laundering

1. Placement	Introducing illegal cash into the financial system
2. Layering	Complex transactions to conceal the origin
3. Integration	Cleaned money re-enters the legitimate economy

Customer Due Diligence (CDD)	verify identity of customer and beneficial owner at onboarding and ongoing basis
Enhanced Due Diligence (EDD)	additional measures for high-risk customers (PEPs, high-risk countries, complex structures)
Suspicious Transaction Reports (STR)	must be submitted to Financial Intelligence and Enforcement Department (FIED) of BNM promptly upon suspicion
Exam trap	STR is suspicion-based, not threshold-based. A suspicious transaction can be below RM25,000 and tipping-off is prohibited.
Threshold / cash transaction reporting	threshold / cash transaction reporting trigger = RM25,000; CDD is also required for occasional or cash transactions of RM25,000 and above, and transactions exceeding the specified amount must be reported where required
Record Keeping	maintain customer and transaction records for minimum 6 years
Tipping-off prohibited	cannot alert the customer that an STR has been filed or that they are under investigation

Politically Exposed Persons (PEPs)

Individuals who are or have been entrusted with a prominent public function (heads of state, ministers, senior judiciary, senior military officers, senior executives of state-owned enterprises). Transactions involving PEPs require Enhanced Due Diligence (EDD). PEP treatment applies to domestic and foreign PEPs, and extends to family members and close associates where applicable.

AML process flow

Illustration: Money laundering stages

Remember the classic sequence: placement, layering, integration.

CHAPTER THREE

Debt Securities & Structured Products

Comprehensive coverage of the Malaysian bond market, debt instrument types, bond valuation and yields, bond risks, and the full range of structured products including derivatives, underlying assets, and documentation.

Topics: Bonds, Sukuk, YTM, Duration, Structured Products, Derivatives, Options

3.1-3.2 Debt Securities - Overview & Malaysian Bond Market

Why Companies & Government Issue Bonds (3.3.5.1)

• Finance ongoing business activities - capital expenditure (capex) and operating expenditure (opex)

• Lower cost of borrowing - bonds often cheaper than bank loans; also used for refinancing existing debt

• Optimise capital structure - debt is an alternative to equity; choice depends on cost and target leverage

• Financial leverage - use of borrowed funds to improve return on equity

Why investors buy bonds:

Predictable income stream (coupon), capital preservation (if held to maturity), diversification from equities, and generally lower risk than equities.

Malaysian Bond Market (as at June 2024)

Total outstanding	RM2.064 trillion
Government issuances	58.14% (RM1.20 trillion)
Corporate issuances	25.12% (RM518.57 billion)
Quasi-government issuances	16.74% (RM345.56 billion)

Islamic (Sukuk) issuances dominate the Corporate and Quasi-government segments.

Short-term Debt (Money Market)

• **Maturity:** usually < 1 year for money-market instruments

• Mostly issued at a discount (no coupon), but not every short-term instrument is necessarily discounted

• Commercial Papers (CP) are always issued at a discount

• **Examples:** T-Bills, BNM Bills, Banker's Acceptance (BA), Negotiable Instruments of Deposit (NID), Commercial Paper (CP)

• **NID caveat:** NIDs/INIDs may have tenors from 3 months to 5 years, so do not treat every NID as strictly short-term

Long-term Debt (Capital Market)

• **Maturity:** > 1 year (bonds)

• Pay periodic coupon (interest) + repay principal at maturity

• Also known as fixed-income securities

• **Examples:** Government Securities (MGS, GII), Corporate Bonds, Sukuk

Key Debt Instrument Types

Instrument	Issuer	Tenor	Notes
Malaysian Government Securities (MGS)	Government	3-30 yrs	Benchmark bonds; coupon-bearing; conventional
Government Investment Issues (GII)	Government	3-30 yrs	Islamic equivalent of MGS (Sukuk Murabahah)
Treasury Bills (T-Bills)	Government	91-365 days	Short-term, zero-coupon, issued at discount
BNM Bills	BNM	<1 yr	Used for open market operations; money market
Corporate Bonds	Corporations	1-20 yrs	Higher yield than govt; requires credit rating
Sukuk	Govt/Corporate	Varies	Shariah-compliant investment certificates structured around permissible assets, transactions or business activities

3.4.1 Sukuk vs Conventional Bonds

Sukuk vs Conventional Bonds - Key Differences

• **Issuer business:** Sukuk must be permissible under Shariah Law; conventional bonds have no restriction.

• **Approval:** Sukuk requires Shariah adviser and Securities Commission approval; conventional bonds require Securities Commission approval.

• **Structure:** Sukuk is investment-based or sales-based; conventional bonds are outright debt.

• **Proceeds utilisation:** Sukuk proceeds must be Shariah-compliant; conventional bond proceeds have no restriction.

• **Underlying asset / activity:** Sukuk requires permissible underlying assets, transactions or business activities; conventional bonds do not.

• **Investor base:** Sukuk can be held by both Islamic and conventional investors; conventional bonds are for conventional investors.

Main Bond Market Participants (3.3.7)

Borrowers/Issuers:	Government, corporations, supranational entities - seeking long-term funding.
Financial Institutions:	Banks, insurance companies, asset managers - major bond investors.
Principal Dealers:	Market-makers who buy/sell bonds on their own account; provide liquidity.
Money Brokers:	Facilitate trades between dealers without taking principal positions.
Rating Agencies:	RAM, MARC - assess issuer creditworthiness.
Bond Pricing Agencies:	BPAM - provide independent bond pricing for Malaysian bonds.
Retail & Institutional Investors:	Pension funds (EPF), insurance companies, unit trusts, and individuals.

3.3-3.5 Bond Features & Types

Bond Type	Characteristics
Straight/Fixed Rate Bond	Fixed coupon rate throughout life; most common type; predictable cash flows
Floating Rate Bond (FRN)	Coupon resets periodically based on reference rate (e.g., KLIBOR + spread); protects against interest rate risk
Zero Coupon Bond	No coupon; issued at deep discount to face value; return is the difference between purchase price and face value at maturity
Callable Bond	Issuer has the right to redeem before maturity; offers higher coupon to compensate for call risk; call risk borne by investor
Convertible Bond	Holder can convert bond into equity shares at predetermined price; combines debt and equity features
Commercial Paper (CP)	Short-term (<=270 days); always issued at discount; requires good credit rating; no coupon

Seniority of Claims (Ranking)

1st	Secured creditors (collateral)
2nd	Senior Unsecured debt
3rd	Subordinated / Junior debt

Higher seniority = lower risk = lower yield. Lower seniority = higher risk = higher yield required by investors.

3.7 Yield Measures for Bonds

Exam Trap

Bond prices and yields move inversely. If rates/yields rise, existing bond prices fall. If rates/yields fall, existing bond prices rise.

Nominal (Coupon) Yield

Nominal Yield
= Annual Coupon / Face Value x 100%

e.g. RM60 coupon on RM1,000 bond = 6% nominal yield

Current Yield

Current Yield
= Annual Coupon / Current Market Price x 100%

Reflects actual return based on current price (not face value)

Yield to Maturity (YTM) - Most Important Yield Measure

YTM is the total return anticipated on a bond if held until it matures. It equates the present value of all future cash flows (coupons + principal) to the current market price.

Key relationships:

• Bond price ↑ -> YTM ↓ (inverse relationship)

• Bond price ↓ -> YTM ↑

• If YTM = Coupon Rate -> Bond trades at PAR

• If YTM > Coupon Rate -> Bond trades at DISCOUNT

• If YTM < Coupon Rate -> Bond trades at PREMIUM

Yield to Call (YTC)

The yield if a callable bond is held only until its **call date** (not maturity). Used when bond is likely to be called (e.g., when market rates fall below coupon rate). YTC < YTM when bond is at premium.

Realised (Horizon) Yield

Actual return achieved considering: coupons received, reinvestment of coupons, and price at the end of the investment horizon (not necessarily maturity). Depends on reinvestment rate assumption.

How Bond Values Change Over Time - Pull-to-Par (3.7.9)

Bond prices change due to changes in yields, inflation, GDP, FX rates, balance of payments, and credit ratings.

Pull-to-Par Effect:	As a bond approaches maturity, its price generally converges towards face value (par), regardless of whether it traded at a premium or discount. Assuming no default and no special embedded feature applies, a conventional bond is redeemed at par/face value at maturity.
Premium bond:	Price declines gradually to par over time.
Discount bond:	Price rises gradually to par over time.

Yield Curve Shapes & Theories

Yield Curve	Shape	Implication
Normal (Upward Sloping)	Long-term yields > short-term yields	Economy growing; expect inflation to rise
Inverted (Downward Sloping)	Short-term yields > long-term yields	Recession signal; tight monetary policy
Flat	Short and long rates approximately equal	Economic uncertainty or transition
Humped	Medium-term yields highest	Mixed economic conditions

Yield Curve Theory	Key Idea
Pure Expectations Theory	Long-term rates = expected future short-term rates; shape reflects market expectations of future rates
Liquidity Preference Theory	Investors demand a liquidity premium for longer maturities; hence upward slope is normal
Market Segmentation Theory	Short and long markets are distinct with different supply/demand; yield curve shape depends on preferences of each segment

3.8 Bond Trustee, Ratings & Tax

Role of Trustee (3.8.1)

In Malaysia, bondholder rights are protected under the **Companies Act** and **CMSA**. A trustee is appointed to act on behalf of bondholders.

- **Default:** creditors, including bondholders, can file a winding-up petition.
- **Liquidation:** a court-appointed liquidator oversees the liquidation process.
- **Foreign creditors:** have the same rights as local creditors.

Tax Considerations (3.8.3)

Tax exemption on interest income for individual investors (residents and non-residents) investing in bonds (other than convertible loan stock) issued by companies rated by RAM or MARC.

Unit trusts and listed closed-end funds also have tax exemption on interest income from corporate bonds.

Stamp duty exemption is available for other bond-related transactions. Check current Inland Revenue Board (LHDN) guidance for full details.

Factors Influencing Bond Yields (3.7.13 & 3.7.15)

Bond yields are generally determined by the **nominal risk-free rate** plus a **risk premium**.

- **Nominal risk-free rate:** driven by inflation and supply/demand for loanable funds.
- **Credit quality:** ability to service debt; reflected in credit ratings.
- **Term to maturity:** longer maturity generally increases yield and price volatility.
- **Indenture provisions:** collateral, call features and sinking fund provisions.
- **Foreign bond risk:** exchange rate risk and country risk.

Loanable funds rule: supply increases -> interest rates fall; demand increases -> interest rates rise.

3.9 Risks When Investing in Bonds

Interest Rate Risk

Price of bond moves inversely with interest rates. **Duration** measures sensitivity - higher duration = greater price sensitivity to rate changes. Long-term bonds have higher interest rate risk.

Reinvestment Risk

Risk that coupon payments will be reinvested at lower rates than the original YTM. More significant for high-coupon, long-maturity bonds and in falling interest rate environments.

Default (Credit) Risk

Risk that the issuer will fail to make coupon or principal payments. Measured by **credit ratings** (RAM, MARC, Moody's, S&P). Higher credit risk = higher yield premium (credit spread).

Inflation Risk

Real return erodes if inflation rises above the bond's coupon rate. Fixed-rate bonds are particularly vulnerable. Floating rate bonds provide partial protection.

Exchange Rate Risk

Foreign currency bonds expose investors to currency fluctuations. A weakening of the bond's currency relative to investor's home currency reduces returns.

Liquidity Risk

Risk of not being able to sell the bond quickly at fair value. Corporate bonds and smaller issues are less liquid. Bid-ask spread widens for illiquid bonds.

Call Risk (Timing Risk)

When a callable bond is called, the investor's cash flow pattern is uncertain. Bondholder is exposed to reinvestment risk as proceeds must be reinvested at lower prevailing rates. The issuer calls when rates fall - disadvantageous for the investor.

Volatility Risk

Bonds with embedded options (callable/puttable) are sensitive to expected interest rate volatility. As volatility increases: the call option (held by issuer) gains value - disadvantaging the bondholder. Used in pricing of complex structured notes.

Duration - Key Risk Metric

Rule: % Change in Price ≈ -Modified Duration x Change in Yield (%)

Macaulay Duration:	Weighted average time to receive all cash flows. Measured in years.
Modified Duration:	Estimates percentage change in bond price for a 1% change in yield.
Bond Ratings:	Investment grade = BBB/Baa and above. High yield (junk) = BB/Ba and below. Malaysian Rating Agencies: RAM and MARC.

3.10-3.11 Introduction to Structured Products

What is a Structured Product?

A pre-packaged investment strategy that typically combines a fixed-income component (e.g., bond/deposit) with a derivatives component (e.g., options) to provide customised risk-return profiles. Payoff is linked to the performance of one or more underlying assets (equities, FX, interest rates, commodities, indices).

Exam Trap

Principal protected does not mean risk-free. Protection normally depends on holding to maturity and remains subject to issuer/default risk. Principal guaranteed still depends on the guarantor's credit strength.

Principal Protected Products (PPP)

• Capital invested is protected at maturity

• **Built with:** Zero Coupon Bond (for capital protection) + Option (for upside participation)

• Participation Rate = portion of underlying asset's gain received by investor

• **Principal Guaranteed vs Principal Protected:** Guaranteed = backed by a guarantor whose credit strength matters; Protected = protection is achieved structurally, usually only if held to maturity and subject to issuer/default risk

Non-Principal Protected Products

• Higher potential returns but capital at risk

• **Enhanced yield products:** sell options to generate premium income

• **Leverage products:** amplify gains and losses

• **Examples:** Equity-Linked Notes (ELN), Range Accruals, Autocallables

Digitals / Binary	Fixed payout once the underlying exceeds the strike price - amount is fixed regardless of how much it exceeds the strike
Range Accruals	Coupon paid only when the underlying stays within a specified range; accrues daily that the condition is met - pays nothing on days outside the range
Knock-Out (KO)	Option ceases to exist (is terminated) if the underlying hits a predetermined barrier level - investor loses the option's protection
Knock-In (KI)	A dormant "sleeping" option that only activates when the underlying reaches a predetermined barrier level or trigger event occurs
Basket Option	Exotic option based on the performance of a basket of underlying assets rather than a single asset - provides diversified exposure

Feature	Structured Product	Unit Trust	Shares	Deposits
Issuer	Banks	Unit trust management companies	Listed companies on Bursa	Banks
Principal Protection	Possible	No	No	Yes - PIDM up to RM250,000
Underlying Asset	Various & customisable	Stocks, bonds, cash	Stocks	Cash
Returns	Variable	Variable	Variable	Fixed
Direct Fees	Possible	Yes	Brokerage only	No
Currency Exposure	Possible	Possible	Possible	Possible

Participation Rate Example

If a structured product has a 70% participation rate and the underlying index rises 20%, the investor receives 70% x 20% = 14% return. The remaining upside is retained by the product issuer to cover costs and the option cost.

Comparison note: the Study Text also compares investment-linked insurance; this compact table omits that column for space.

Risks of Structured Products

Issuer/Counterparty Risk	if the issuer defaults, the investor may lose the entire investment even if principal is "protected"
Liquidity Risk	structured products are typically illiquid; secondary market may not exist; early redemption may result in significant loss
Market Risk	the return (upside) component is at risk if the underlying asset underperforms
Complexity Risk	investors may not fully understand product mechanics, payoffs, or scenarios where losses occur
Currency Risk	if product references foreign assets or is denominated in foreign currency
Reinvestment Risk	at maturity, reinvesting returned capital at prevailing (possibly lower) rates

3.12 Understanding Derivatives

Derivatives are financial instruments whose value is derived from an underlying asset, index, or rate. They are used for **hedging** (risk reduction), **speculation** (profit from price movements), and **arbitrage** (exploiting price differences).

Derivative Type	Key Characteristics
Forward Contract	OTC; customised; bilateral agreement to buy/sell an asset at a set price on a future date; no daily settlement; counterparty risk
Futures Contract	Exchange-traded; standardised; daily mark-to-market (margin); central counterparty and margining substantially reduce counterparty risk; more liquid than forwards
Options	Right (not obligation) to buy (call) or sell (put) an asset at the strike price on/before expiry. Buyer pays premium; seller receives premium. American (exercise anytime) vs European (exercise at expiry only)
Swaps	Two counterparties exchange cash flows of one financial instrument for another. **Interest rate swap:** one party pays fixed, other pays floating (e.g., KLIBOR-based). **Currency swap:** exchange of principal and interest in different currencies. Benefit both parties when they have different risk appetites. OTC instrument.

Exam Trap

Call = right to buy; Put = right to sell. Option buyer pays premium and has limited loss. Option writer receives premium and bears the obligation if exercised.

Option Payoffs

Call Option (Right to Buy)

• **Buyer (Long Call):** Unlimited upside; loss limited to premium paid; profits when price rises above strike

• **Seller (Short Call):** Premium received upfront; unlimited downside risk; profits when price stays below strike

• Breakeven = Strike Price + Premium

Put Option (Right to Sell)

• **Buyer (Long Put):** Profits when price falls below strike; loss limited to premium; max profit when price -> 0

• **Seller (Short Put):** Premium received; substantial downside if price falls sharply

• Breakeven = Strike Price - Premium

Option Valuation

Option Premium = Intrinsic Value + Time Value.

Option value is also influenced by:

• Current price of underlying asset vs strike price

• Time to expiry - more time = higher option value (time decay)

• Volatility of the underlying asset - higher volatility = higher option premium

• Risk-free interest rate

• Dividends (for equity options)

Underlying Assets for Structured Products

Equities

Single stocks or baskets; returns linked to share price performance; basket products reduce single-stock risk

Indices

KLCI, S&P 500, Hang Seng, Nikkei; provides diversified exposure; no single stock concentration risk

Commodities

Gold, oil, palm oil; real asset exposure; good inflation hedge; prices can be volatile

Foreign Exchange (FX)

Currency pairs (USD/MYR, EUR/USD); products give exposure to exchange rate movements

Interest Rates

LIBOR/SOFR/KLIBOR; interest rate swaps, caps, floors; used to hedge or speculate on rate movements

Real Estate

REITs, property indices; provides real estate exposure without direct ownership; less liquid

Fixed Income

Government or corporate bonds, bond funds (e.g. Templeton Global Bond Fund), fixed income indices (e.g. S&P Eurozone Govt Bond Index). Debt obligations with defined interest payments.

Hybrids

Derivatives based on **multiple and distinct asset classes** simultaneously (e.g. interest rates + currency + equities + real estate). Growing popularity as investors diversify beyond traditional bonds and equities.

Capital protection	Investors more concerned about risk than returns - PPP structures offer possible capital protection
Volatility averse	Investors who dislike volatility but want exposure to assets such as commodities or equities
Exotic access	Access to exotic underlyings not available through traditional investments - hedge funds, gold, platinum, and others
Currency hedging	Investors wishing to hedge their existing currency risk exposure
Leverage	Investors wanting leveraged returns on an underlying without direct investment
Diversification	Investors seeking diversification with financial instruments beyond traditional bonds and stocks
Tailored risk-return	Investors with various risk-return appetites - structured products can be designed to any specific risk profile

Legal Documentation for Structured Products

Master / Product Agreement	sets out the contractual terms between issuer/distributor and investor
Product Disclosure Sheet (PDS)	summarises key features, terms, risks, fees/charges and warning statements in clear language
Risk Disclosure Statement (RDS)	explains material risk factors, including market, liquidity, issuer/counterparty and early termination risks
Customer Suitability Questionnaire	records the customer’s risk profile, needs and investment objectives to support suitability assessment
Indicative / Final Term Sheet	sets out product-specific terms, conditions, risks and payoff formula; the final version is the binding product summary
Information Memorandum / Pricing Supplement	provides fuller issuer and product details where applicable, especially for sophisticated investors or programme issuances
ISDA documentation	commonly used for OTC derivative transactions where relevant, including master agreement / schedule / CSA arrangements as applicable

Backtesting

Backtesting uses historical data to simulate how a structured product would have performed in the past under the same payoff structure. It is used to validate product design and provide investors with illustrative (not guaranteed) performance scenarios. Backtesting does not predict future returns.

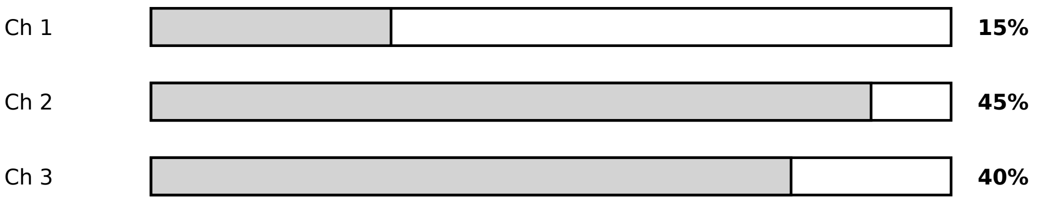
QUICK REFERENCE

Key Numbers, Dates & Thresholds to Remember

Critical facts for the IPPC examination - memorise these.

Exam Weighting Snapshot

Illustration: Suggested exam weighting



Use this only as a revision guide: Chapter 2 and Chapter 3 usually dominate the syllabus.

Study Text / Regulatory Timeline - Core Dates

- **BNM established:** 26 Jan 1959
- **AMLA:** 2001; STR effective: 15 Jan 2002
- **CMSA came into force:** 28 Sep 2007
- **CBA 2009 effective:** 25 Nov 2009
- **PIDM TIPS role expanded:** 31 Dec 2010
- **FSA/IFSA effective:** 30 Jun 2013
- **BNM New Products Guidelines:** 7 Mar 2014
- **BNM Code of Conduct issued/effective:** 13 Apr 2017 / 2 May 2017
- **BNM Product Transparency & Disclosure:** 2 Dec 2024
- **IPPC Module Specs effective:** 1 Mar 2026

Key Thresholds

- **PIDM coverage:** RM250,000 per depositor
- **Sophisticated individual (income):** RM300,000 p.a.
- **Sophisticated individual (assets):** RM3 million
- **Sophisticated entity (assets):** RM10 million
- **Cash / threshold reporting trigger:** RM25,000; STRs are suspicion-based and separate from threshold reporting
- **Record keeping:** 6 years

Bond Market Stats (2024)

- **Total market:** RM2.064 trillion
- **Government share:** 58.14%
- **Corporate share:** 25.12%
- **Quasi-govt:** 16.74%
- **Malaysian rating agencies:** RAM, MARC
- Inverted yield curve -> recession signal

REFERENCE SHEET

Key Formulas

All important calculations and formulae you need to know for the IPPC examination.

Yields Bond Yield Formulas

Nominal (Coupon) Yield

$$\text{Nominal Yield} = (\text{Annual Coupon} / \text{Face Value}) \times 100$$

e.g. RM60 coupon on RM1,000 face value = 6.00%

Current Yield

$$\text{Current Yield} = (\text{Annual Coupon} / \text{Current Market Price}) \times 100$$

e.g. RM60 coupon, price RM900 -> 6.67%

Yield to Maturity (YTM) - Approximation

$$\text{Approx. YTM (\%)} = \{ [C + (F - P) / n] / [(F + P) / 2] \} \times 100$$

C = Annual coupon
F = Face value
P = Price
n = Years to maturity

Yield to Call (YTC) - Approximation

$$\text{Approx. YTC (\%)} = \{ [C + (\text{Call Price} - P) / t] / [(\text{Call Price} + P) / 2] \} \times 100$$

t = Years to call date
Call Price = Redemption price at call

Option Premium

$$\text{Option Premium} = \text{Intrinsic Value} + \text{Time Value}$$

Basic option valuation formula tested in structured product / derivatives questions.

Price Bond Price / Valuation

Bond Price (Present Value)

$$P = \Sigma [C / (1+r)^t] + [F / (1+r)^n]$$

r = Required yield (YTM)
t = each period
n = total periods

Price-Yield Relationship

Price ↑ -> Yield ↓ (inverse) Price ↓ -> Yield ↑ (inverse)

At par: Price = Face Value, YTM = Coupon Rate Discount: Price < Face, YTM > Coupon Rate Premium: Price > Face, YTM < Coupon Rate

Present Value (PV) of Single Cash Flow

$$PV = FV / (1 + r)^n$$

FV = Future value
r = discount rate
n = periods

Future Value (FV)

$$FV = PV \times (1 + r)^n$$

Also used for reinvestment calculation of coupon cash flows

Risk Duration & Price Sensitivity

Duration (Price Sensitivity)

Duration measures bond price sensitivity to yield changes. Modified duration approximates % price change for a 1% yield change.

e.g. Modified duration = 5 -> bond price changes by about 5% for every 1% yield change

Approximate % Price Change

$$\Delta P\% \approx -\text{Modified Duration} \times \Delta\text{yield}$$

e.g. Modified duration = 5, yield rises by 1% -> price falls ≈ 5%

Structured Structured Products

Participation Rate Return

$$\text{Investor Return} = \text{Participation Rate} \times \text{Underlying Asset Gain}$$

e.g. 70% participation x 20% index gain = 14% return

Zero Coupon Bond (PPP Protection Leg)

$$\text{ZCB Cost} = \text{Face Value} / (1 + r)^n$$

Remaining budget = Total Investment - ZCB Cost -> used to buy option

Option Breakeven - Call

$$\text{Breakeven} = \text{Strike Price} + \text{Premium Paid}$$

Profit if underlying price > Breakeven at expiry

Option Breakeven - Put

$$\text{Breakeven} = \text{Strike Price} - \text{Premium Paid}$$

Profit if underlying price < Breakeven at expiry

Discount Money Market Instruments

Discount Yield (T-Bills, BNM Bills)

$$\text{Discount Yield (\%)} = [(\text{Face} - \text{Price}) / \text{Face}] \times [(365 \times 100) / \text{Days}]$$

Used for short-term zero-coupon instruments. Formula shows annualised percentage yield.

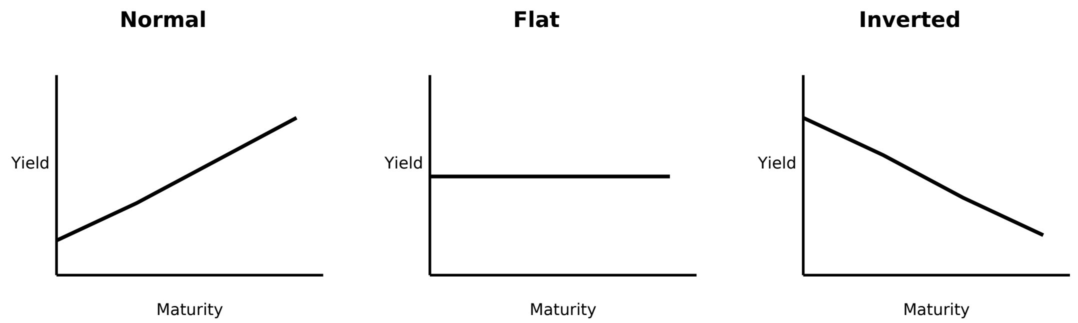
Effective Yield - Discount Securities (BA, NID, T-Bills)

$$\text{Effective Yield (\%)} = [(\text{Par Value} - \text{Issue Price}) / \text{Issue Price}] \times [(365 \times 100) / \text{Days to Maturity}]$$

Par Value = face value repaid at maturity
Issue Price = discounted purchase price Effective yield is usually higher than discount yield because the denominator is the Issue Price, not the Par Value.

Yield curve reference

Illustration: Yield curve shapes



Normal = upward sloping, Flat = transition/uncertainty, Inverted = potential recession signal.

EXAM ESSENTIALS

Key Concepts for the Exam

The most critical concepts, distinctions, and rules that frequently appear in IPPC examination questions.

Ch 1 Malaysian Financial System

BNM established 26 Jan 1959	under CBA 1958; replaced by CBA 2009 (effective 25 Nov 2009). Wholly owned by Government, reports to Minister of Finance.
FSA & IFSA both effective 30 June 2013.	FSA governs conventional institutions; IFSA governs Islamic institutions. Both give BNM stronger supervisory powers.
Dual banking system	Islamic and conventional run in parallel. Islamic finance prohibits Riba (interest), Gharar (speculative trading), Maisir (gambling). Transactions must be supported by genuine trade, business activity, or an underlying asset.
Primary vs Secondary market	Primary = new issuance (IPO, new bond). Secondary = trading of existing securities.
OTC vs Exchange	Bonds and FX are primarily OTC (bilateral, customised). Equities and derivatives can be exchange-traded (standardised, transparent).
Onshore vs Offshore MYR	BNM does NOT recognise the offshore NDF MYR market. Licensed persons must not facilitate offshore MYR transactions.
SC's CMSL / Registered Person framework	governs regulated capital market activities. Dealing in unlisted debt securities requires PKMC Modules I-IV. Selling/marketing structured products and unlisted debt securities: non-treasury dealers require IPPC; treasury dealers require PKMC Modules I-IV.
Rating agencies in Malaysia: RAM and MARC.	Investment grade = BBB/Baa and above. Below = high yield / speculative grade.

Ch 2 Regulations & Guidelines

KYC is mandatory before any product recommendation.	Without KYC, suitability cannot be determined. KYC covers: identity, financial position, investment experience, objectives, risk tolerance, and horizon.
Suitability must be assessed	for every customer. Do not recommend unsuitable products. If a customer insists despite a mismatch, follow the institution's mismatch/exception procedures, explain the risks and potential capital loss clearly, and document the customer's instruction and acknowledgement.
Fit & Proper	For ERPs, the Study Text focuses on: not being an undischarged bankrupt or judgment debtor; not being convicted of fraud, dishonesty or violence; not being convicted of banking, securities or insurance-law offences; not engaging in deceitful or oppressive business practices; and not acting in a way that makes competence or soundness of judgment doubtful.
Sophisticated investor (individual)	gross annual income > RM300,000 (or > RM400,000 jointly with spouse/child) OR total net assets > RM3 million with primary residence contribution capped at RM1 million OR net personal investment portfolio > RM1 million. Entity: total net assets exceeding RM10 million.
PIDM deposit coverage is up to RM250,000	per depositor per member bank. TIPS protection for eligible takaful certificates and insurance policies is up to RM500,000. Member banks are commercial banks and Islamic banks; structured products, unit trusts, bonds, NIDs, repos and investment accounts are NOT covered.
Tipping-off is a criminal offence	under AMLA. You must NOT tell a customer that an STR has been filed or that they are under AML investigation.
Cash / threshold reporting trigger = RM25,000.	Cash transactions of RM25,000 and above trigger CDD / threshold-reporting treatment where required. STRs are separate and are based on suspicion, not a minimum amount.
STR must be filed promptly upon suspicion	- there is no minimum amount threshold for STRs. Do not wait for certainty before filing.
Record keeping obligation = 6 years	for all customer and transaction records under AMLA.
PEPs require Enhanced Due Diligence (EDD)	- covers current and former public officials, their family members, and close associates.
Bank secrecy	customer information can only be disclosed with written consent, court order, to BNM for supervisory purposes, or under specific FSA/IFSA Schedule 11 exceptions.
PDS / PHS disclosures	must be clear, timely and not misleading. PDS focuses on key BNM disclosure requirements; PHS is the SC document for relevant unlisted capital market products, covering salient features, risks, fees/charges, valuation/exit costs, contacts, responsibility statement and disclaimer. PHS is not universal: it depends on product type and investor category, with seasoned bonds/sukuk generally not requiring a PHS under the Study Text table.

Ch 3 Debt Securities & Structured Products

Bond price and yield are inversely related.	When interest rates rise -> bond prices fall. When rates fall -> prices rise. This is the single most tested bond concept.
YTM vs Coupon Rate determines pricing	YTM = coupon -> par. YTM > coupon -> discount. YTM < coupon -> premium.
Longer maturity = higher interest rate risk	(higher duration). Higher coupon = lower duration (more cash flows received earlier).
Duration	measures bond price sensitivity to yield changes. Macaulay duration is the weighted average time to receive cash flows; modified duration approximates the percentage bond-price change for a 1% yield change. Longer maturity and lower coupon = higher duration = higher interest-rate risk.
Callable bonds	issuer calls when rates fall (refinancing benefit). Investor bears call risk and must reinvest at lower rates -> reinvestment risk materialises.
Seniority of claims on default	Secured creditors -> Senior Unsecured debt -> Subordinated/Junior debt. Higher seniority = lower risk = lower yield demanded.
Structured product = fixed income leg + derivative leg.	Principal Protected Product (PPP) = Zero Coupon Bond + Call Option. Participation Rate determines how much upside the investor receives.
Principal Guaranteed ≠ Principal Protected.	Guaranteed depends on a guarantor's credit strength and default risk remains. Protected relies on the product structure, normally only if held to maturity and subject to issuer/default risk.
Counterparty/issuer risk is the biggest risk in structured products.	If the issuer defaults, even "protected" capital can be lost entirely.
Call option	right to BUY. Put option: right to SELL. Buyer pays premium. Seller (writer) receives premium. Buyer's loss = limited to premium. Seller's loss = potentially unlimited (call) or large (put).
Forwards vs Futures	Forwards are OTC, customised and bilateral with counterparty risk. Futures are exchange-traded, standardised, daily mark-to-market and centrally cleared, which substantially reduces counterparty risk.
Inverted yield curve	(short rates > long rates) = signal of impending recession and tight monetary policy.
Normal yield curve	slopes upward - investors demand more yield for longer maturities due to liquidity preference (Liquidity Preference Theory).
Backtesting	uses historical data to show how a product would have performed - it is illustrative only, not a guarantee of future returns.
Final Term Sheet is legally binding.	Indicative Term Sheet is not. Always check which document you are signing.
ISDA documentation	is commonly used for OTC derivative transactions where relevant. The schedule/CSA may contain product-specific and collateral terms.

Top 5 Most Tested Areas

Suggested priority areas based on the official weighting and mock-question frequency: **(1)** KYC & suitability assessment procedures · **(2)** Bond price-yield relationship & YTM calculation · **(3)** Investor categories & PIDM coverage limits · **(4)** AML/CFT/CPF obligations (threshold reporting, STR, tipping-off, TFS) · **(5)** Structured product mechanics (PPP, participation rate, issuer/counterparty risk)

EXAM REFERENCE

Key Dates, Acts, Schedules, Fines & Penalties

A compact legal-reference table for the dates, Acts, schedules and penalties most likely to appear in IPPC recall and scenario questions.

Study Text / Regulatory Timeline - Important Dates

Date / Year	Event / Instrument	Why it matters for IPPC
1974	FMAM established	Professional association for wholesale FX and money market participants.
1995	FMAM imposed qualifying examinations for new members	Members must pass IPPC before being qualified to market and sell structured products and unlisted debt securities.
26 Jan 1959	BNM started operations	Malaysia's central bank; originally under the Central Bank of Malaysia Act 1958.
1 Mar 1993	Securities Commission Malaysia started operations	Capital-market regulator with investor-protection mandate.
15 Feb 1996	Labuan FSA established	Regulatory, supervisory and enforcement authority for Labuan IBFC.
15 Jan 2002	STR reporting effective date under AMLA notes	Suspicious transaction reporting is a high-yield AMLA obligation for reporting institutions.
Sep 2005	PIDM deposit insurance system came into effect	PIDM protects eligible deposits and supports public confidence in the financial system.
1 Sep 2006	Threshold reporting effective date under AMLA notes	Threshold reporting is separate from suspicious transaction reporting.
28 Sep 2007	CMSA came into force	Consolidated key capital-market legislation and introduced the single licensing regime.
25 Nov 2009	Central Bank of Malaysia Act 2009 became effective	Replaced CBA 1958; legal framework for BNM's functions and responsibilities.
31 Dec 2010	PIDM role expanded to administer TIPS	TIPS protects eligible takaful certificates and insurance policies, separate from deposit insurance.
30 Jun 2013	FSA 2013 and IFSA 2013 effective	Main BNM-administered Acts for conventional and Islamic financial sectors respectively.
7 Mar 2014	BNM Guidelines on Introduction of New Products issued	New-product governance, risk management, duty of care and suitability.
13 Apr 2017	BNM Code of Conduct for Malaysia Wholesale Financial Markets issued	Conduct standards for wholesale financial markets, including integrity and professionalism.
2 May 2017	BNM Code of Conduct for Malaysia Wholesale Financial Markets came into effect	Important for dealer/broker conduct, prohibited conduct and market integrity.
2017	LEAP Market launched	Bursa Malaysia adviser-driven market for emerging companies/SMEs; accessible only to sophisticated investors.
13 Nov 2020	Online Moneylending Guidelines issued	Ministry of Housing and Local Government allowed existing licensed moneylenders to apply to provide loans online.
31 Dec 2021	Current version of BNM Code of Conduct noted in Study Text	Study Text references this version for Malaysia wholesale financial market conduct.
5 Feb 2024	BNM AML/CFT/CPF and TFS for FIs policy document issued	Risk-based approach, CDD, CPF and targeted financial sanctions for financial institutions.
Jul 2024	PitchIN Secondary Trading Market became operational	Limited secondary-market trading for companies that previously raised capital via ECF.
2 Dec 2024	BNM Product Transparency and Disclosure Guidelines issued	Disclosure standards, product transparency, customer suitability and informed decision-making.
2025	IPPC Study Text 3rd Edition / Version 3.0 published	Study text used for exams effective 1 March 2026.
1 Nov 2025	Updated IPPC module specifications	Updated CLO, outline and assessment criteria.
1 Mar 2026	Effective date for updated IPPC examinations	Use the 3rd Edition Study Text and updated module specification for exam preparation.

Study Text ref: Introduction; Ch 1.1.4, 1.4.1, 1.5; Ch 2.1.1-2.1.2. Module Spec ref: effective 1 Mar 2026.

Important Acts, Guidelines & What They Do

Act / Guideline	Role in the Study Text	Replaces / Key linked schedule
Central Bank of Malaysia Act 2009	Legal framework for BNM's functions, monetary policy, currency management, payment-system oversight and supervision of financial institutions.	Repealed CBA 1958; effective 25 Nov 2009.
Financial Services Act 2013 (FSA)	Regulation and supervision of conventional financial institutions, payment systems, money market and FX market.	Consolidates/replaces BAFIA 1989, Exchange Control Act 1953, Insurance Act 1996 and Payment Systems Act 2003. **Schedule 7:** prohibited business conduct. **Schedule 11:** permitted disclosures.
Islamic Financial Services Act 2013 (IFSA)	Regulation and supervision of Islamic financial institutions, Islamic payment systems, Islamic money market and Islamic FX market; Shariah compliance.	Replaces Islamic Banking Act 1983 and Takaful Act 1984.
Securities Commission Act 1993	Establishes the SC and its regulatory/development role over securities and futures markets.	Part IV on fundraising consolidated into CMSA 2007.
Capital Markets and Services Act 2007 (CMSA)	Main capital-market legislation: investor protection, market integrity, systemic stability, licensing and capital-market offences.	Consolidates Securities Industry Act 1983, Futures Industry Act 1993 and Part IV of Securities Commission Act 1993. **Schedule 2:** regulated activities, including dealing in securities, derivatives, fund management, investment advice, financial planning, corporate finance advice, PRS dealing and clearing.
Capital Markets and Services Regulations 2007	Introduced with CMSA to support the new regulatory framework.	Linked to Guidelines on Regulation of Markets and SC Licensing Handbooks.
Guidelines on Investor Protection	Joint BNM/SC guidelines for RPs/ERPs carrying out permitted capital-market activities; fit and proper and investor protection.	Revoked Guidelines for Exempt Dealers on Pass-Through Activities. CMSA S.76 links to S.91, S.92, S.93 and S.97.
Guidelines on Product Transparency and Disclosure	BNM disclosure expectations for FSPs: clear, timely, relevant product information and customer suitability practices.	PDS disclosure framework.
Guidelines on Product Highlights Sheet	SC document for relevant unlisted capital-market products; salient features, risks, fees, valuation/exit costs, contacts, responsibility statement and disclaimer.	PHS requirement depends on product type and investor category.
Guidelines on Unlisted Capital Market Products under the Lodge and Launch Framework	Framework for lodging and launching unlisted capital-market products without prior SC authorisation where requirements are met.	Supersedes earlier wholesale funds, structured products, **Private Debt Securities**, sukuk and asset-backed securities guidelines. Here, Private Debt Securities is written out to avoid confusion with Product Disclosure Sheet.
Guidelines on Seasoned Corporate Bonds and Sukuk	Rules for making seasoned corporate bonds/sukuk available to retail investors.	Requires 12-month seasoning period and eligible issuer/features.
Guidelines on Categories of Sophisticated Investors	Defines accredited investors, HNWE and HNWI categories.	Important for permitted activities and PHS/product-distribution rules.
Malaysia Deposit Insurance Corporation Act 2011	PIDM statutory framework for deposit insurance, TIPS and financial-system stability.	Deposit protection limit: RM250,000 per depositor per member bank. TIPS protection for eligible takaful certificates and insurance policies: RM500,000.
AMLA 2001	Anti-money laundering, anti-terrorism financing and proceeds of unlawful activities; reporting institution duties.	Key provisions: S.4, S.13-S.17, S.19 and AML reporting obligations.
BNM AML/CFT/CPF and TFS for FIs Policy Document	Risk-based approach, customer due diligence, counter proliferation financing and targeted financial sanctions for FIs.	Study Text Ch 2.5.2.
SC AML/CFT/CPF Guidelines	AML/CFT/CPF and TFS obligations for reporting institutions in the capital market.	Study Text Ch 2.5.3.
Labuan Financial Services Authority Act 1996	Establishes Labuan FSA as the central authority for Labuan IBFC.	Labuan FSA established 15 Feb 1996.
Development Financial Institutions Act 2002	Prescribed DFIs under BNM's purview.	Relevant to Ch 1 financial institutions.
Electronic Commerce Act 2006 / Digital Signatures Act 1997	Referenced in online moneylending documentation and digital/electronic signing context.	Linked to Ministry of Housing and Local Government's Online Moneylending Guidelines.

Exam Trap Do not mix regulator jurisdiction: BNM supervises financial institutions, money/FX markets and payment systems; SC regulates capital-market activities; PIDM is deposit insurance; Bursa operates exchange infrastructure.

Important Schedules / Sections to Remember

Reference	What it covers	Exam use
FSA S.133 / IFSA S.145	Secrecy and confidentiality of customer information.	Duty continues after employment; unauthorised disclosure is an offence.
FSA S.134 + Schedule 11	Permitted disclosures of customer information.	Written consent, BNM/regulator request, court/legal requirement, bankruptcy/winding up, criminal/civil proceedings, tax/credit reporting and other specified cases.
FSA Schedule 7	Prohibited business conduct.	Use for BNM/FSA questions on unfair, misleading or improper conduct by financial institutions.
CMSA Schedule 2	Regulated activities, including dealing in securities, dealing in derivatives, fund management, investment advice, financial planning, advising on corporate finance, dealing in PRS and clearing.	Useful for S.362 title/prohibition and licensed-activity questions.
CMSA S.76	Registered persons and permitted capital-market activities.	RPs/ERPs must comply with investor protection provisions, including S.91, S.92, S.93 and S.97.
CMSA S.91	Investor protection provisions referenced by Guidelines on Investor Protection.	Know it as part of the RP/ERP investor-protection framework.
CMSA S.92	Reasonable basis for recommendations.	KYC + product investigation + suitable recommendation.
CMSA S.92A	False/misleading information or material omission to investors.	High-risk mis-selling/misrepresentation provision.
CMSA S.93	Priority to client orders.	Front-running/client-priority type MCQs.
CMSA S.97	Dealings as principal.	Must disclose acting as principal and state it in contract note.
CMSA S.178	Fraudulently inducing persons to deal in securities.	False guaranteed-return statements and misleading forecasts.
CMSA S.179	Manipulative and deceptive devices.	Fraud, deceit, untrue statements, material omissions.
CMSA S.232	Prospectus registration requirement.	No public issue/offer/invitation for securities without registered prospectus unless exempt/authorised.
AMLA S.4	Offence of money laundering.	Money/property from unlawful activity given legitimate appearance.
AMLA S.13	Transaction record keeping by reporting institutions.	Record prescribed details for transactions exceeding specified amount.
AMLA S.14	Reporting by reporting institutions.	Threshold reporting and STR reporting.
AMLA S.16	Identification of account holder.	No anonymous/fictitious/false-name account; verify identity.
AMLA S.17	Retention of records.	Six-year retention from account closure / transaction completion or termination.
AMLA S.19	Compliance programme.	Internal policies, procedures, controls, training and independent audit.

Penalty Fines, Penalties & Consequences

Provision / Area	Breach / Obligation	Penalty / Consequence
FSA S.8 / authorised business	Carrying on authorised business without being licensed / approved.	Imprisonment up to **10 years**, fine up to **RM50 million**, or both.
FSA S.133 / IFSA S.145	Breach of secrecy / unauthorised customer-information disclosure.	Imprisonment up to **5 years**, fine up to **RM10 million**, or both.
CMSA S.92	Recommendation without reasonable basis.	Offence under S.92(3); investor may claim **damages** for loss caused by reliance on recommendation.
CMSA S.92A	False or misleading information, false statement, or wilful material omission to an investor in a capital-market product.	Fine up to **RM3 million**, imprisonment up to **10 years**, or both.
CMSA S.93	Failure to give priority to client orders.	Fine up to **RM1 million**, imprisonment up to **5 years**, or both.
CMSA S.97	Failure to disclose dealing as principal / failure to state principal capacity in contract note.	Purchaser/vendor may rescind within **14 days**; fine up to **RM1 million**, imprisonment up to **10 years**, or both.
CMSA S.178	Fraudulently inducing persons to deal in securities.	Fine **not less than RM1 million** and imprisonment up to **10 years**.
CMSA S.179	Manipulative/deceptive devices, fraud/deceit, untrue statement or material omission.	Fine **not less than RM1 million** and imprisonment up to **10 years**.
CMSA S.232	Public issue, offer, invitation or application for securities without registered prospectus unless exempt/authorised.	Fine up to **RM10 million**, imprisonment up to **10 years**, or both.

AMLA / Other Reference	Breach / Obligation	Penalty / Consequence / Action
AMLA S.4(1)	Money laundering / attempt / abetment.	Study-text money-laundering offence. Verify current AMLA if used outside exam context.
AMLA S.13	Failure to keep required transaction records.	Fine not exceeding **RM1 million** under S.86.
AMLA S.16	Anonymous, fictitious, false or incorrect-name account; failure to verify identity.	Maximum fine of **RM1 million** under S.86.
AMLA S.17	Failure to retain records for the required six-year period.	Maximum fine of **RM3 million**, imprisonment up to **5 years**, or both.
AMLA S.13-17	Reporting, record-keeping and account-holder identification obligations.	Where the Study Text applies S.22: fine up to **RM1 million**, imprisonment up to **3 years**, or both.
AMLA S.19	Compliance programme duties for reporting institutions.	RI must adopt internal programmes, policies, procedures and controls, including training, independent audit and compliance officer oversight.
Wholesale Financial Markets Code	Dealer / broker non-compliance inquiry.	FI must notify BNM and FMAM in writing within **one week** of initiating/concluding inquiry; internal actions may include suspension or restriction.
Investor Protection register	Change to RP/ERP register details.	Full particulars of change, date and reasons must be entered within **14 days**.

Memory Anchor

RM10m / 5 years = FSA/IFSA secrecy. **RM50m / 10 years** = unauthorised FSA business. **RM3m / 10 years** = CMSA S.92A false/misleading info. **RM1m / 5 years** = CMSA S.93 client-order priority. **RM1m / 10 years + 14-day rescission** = CMSA S.97 principal dealing.